

RAGHAV PRODUCTIVITY ENHANCERS LTD

NSE: RPEL | Sector: Industrials — Refractories & Industrial Minerals | 15 June 2026

ACCUMULATE

12-Month Target: Rs.1,480

Upside: +23% from CMP

CMP: Rs.1,201 | Entry Zone: Rs.1,100-1,200

Horizon: 12-18 months

CMP (Rs.)	1,201	P/E (TTM)	104x
Market Cap	Rs.5,515 Cr	Book Value	Rs.53.3
52W High	Rs.1,219	ROCE	30.3%
52W Low	Rs.561	ROE	24.3%
Div. Yield	0.08%	Face Value	Rs.10
Promoter %	62.91%	Pledge	0%
FII %	0.36%	DII %	0.00%

INVESTMENT THESIS: World's largest silica ramming mass manufacturer; 120k MTPA capacity addition (Oct-26) + export scale-up to drive a 40% revenue CAGR toward Rs.500 Cr, while 28-30% EBITDA margins and zero-debt balance sheet make the earnings re-rate durable.

Report Date: 15 June 2026 | Analyst: MPM Research Desk | Data Source: Screener.in (consolidated), fetched 15-Jun-2026 | Rating: ACCUMULATE

2. INVESTMENT THESIS

- **Structural capacity leader in a fragmented market:** RPEL is the world's largest silica ramming mass producer at 4.14 lakh MTPA — 5-10x the nearest organized competitor — in an industry that remains 70-80% unorganised. As Indian steel induction capacity grows, the organized shift disproportionately benefits RPEL's premium branded product.
- **Capacity-led revenue step-change over FY27-28:** The 1.2 lakh MTPA brownfield expansion (Rs.20 Cr, funded internally, Oct-26 commissioning) lifts total group capacity to 5.34 lakh MTPA — a 29% jump — directly supporting management's Rs.500-550 Cr FY27 revenue target vs Rs.257 Cr in FY26. This is a near-certain catalyst with zero debt risk.
- **Premium margins from brand + quality moat:** RPEL's ramming mass extends furnace lining life 20-30% vs unorganized alternatives, commanding ~29-30% EBITDA margins — structurally above refractory peers (HEG: 16%, RAIN: 14%). ROCE of 30.3% and zero debt signal high capital efficiency ahead of the capex cycle.
- **Export diversification (36+ countries, 49% revenue):** Nearly half of FY26 revenue came from exports, reducing cyclical India-steel exposure and building FX tail-winds. The global induction furnace market is growing at 6-7% CAGR, giving RPEL a growing addressable opportunity outside India.
- **Near-term catalyst (6-12 months):** Commissioning of the 1.2 lakh MTPA expansion by Oct-26 — with capacity utilization currently at 87% — will eliminate the supply bottleneck and drive a step-up in quarterly run-rate volumes from Q3 FY27.
- **Biggest structural risk:** Steel cycle downturn — a sharp correction in domestic induction furnace capacity additions or Chinese dumping of steel that reduces Indian production runs would compress RPEL's volumes and pricing simultaneously.

3. BUSINESS OVERVIEW

- **Core product — Silica Ramming Mass:** A granular refractory compound used to line induction furnace crucibles (coreless and channel types) in steel, iron, and non-ferrous metal melting. The product acts as the

furnace's thermal and chemical barrier, and its life-cycle directly determines furnace productivity — hence the company's name.

- **Manufacturing base:** State-of-the-art plants in Newai, Rajasthan (access to high-purity quartzite deposits in the Aravalli range). Installed capacity: 4.14 lakh MTPA; utilization in Q4 FY26 was 87%, indicating near-full loading before the expansion.
- **Revenue mix (FY26):** Domestic ~51%, Exports ~49% (36+ countries, primarily Middle East, South-East Asia, Africa, Europe). This near-50/50 split provides natural geographic risk diversification.
- **Customer base:** Steel induction furnace operators, iron foundries, and non-ferrous smelters. Relationships are largely recurring — ramming mass is a consumable; a furnace uses multiple tonnes per campaign and re-orders frequently.
- **Product quality differentiation:** RPEL tests quartz purity at the sourcing stage; product formulations extend furnace lining life 20-30% vs unbranded alternatives. This drives a measurable total-cost-of-ownership advantage for the customer.
- **Strategic development (FY25-26):** Board approved 1.2 lakh MTPA brownfield expansion (Rs.20 Cr capex) in Apr-26; fully internally funded. Company also completed a rights-issue funded plant upgrade in FY23-24 (CWIP capitalized into fixed assets by FY24).
- **Promoter background:** Promoted by the Bansal family (Jaipur). Promoter holding stable at 62.91% (Mar-26) with zero pledge. Promoters have reduced stake only via dilutive rights issues, not open-market sales — alignment appears intact.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size & growth:** India's induction furnace refractory consumables market is estimated at Rs.2,000-2,500 Cr (organized + unorganized). The broader induction furnace industry is forecast to grow at 6.6% CAGR through 2025, with China + India leading capacity additions. India's steel capacity target of 300 MT by 2030 drives steady demand for consumable refractories.
- **Organized-to-unorganized shift:** 70-80% of the ramming mass market remains unorganised local suppliers. Environmental compliance pressure, product quality requirements from larger steel mills, and export quality norms are driving a structural shift to organized players — RPEL is the prime beneficiary with its first-mover scale.
- **Policy tailwinds:** India's National Steel Policy targets 300 MT steel capacity by 2030 vs ~160 MT today. PLI schemes for specialty steel and infrastructure-led construction spending translate directly into induction furnace additions and higher ramming mass demand.
- **Competitive moat assessment:**
 - - Scale: **Strong** — 4.14 lakh MTPA capacity vs ~30-50k for nearest domestic organized rival
 - - Raw material access: **Strong** — proximity to Rajasthan quartzite belt; captive or long-term sourcing agreements
 - - Switching costs: **Moderate** — qualified supplier approval takes 3-6 months at large furnace operators; price alone doesn't dislodge an approved supplier
 - - Pricing power: **Moderate** — premium vs unorganized but exposed to raw material (quartz) cost pass-through cycles
 - - IP/brand: **Moderate** — 'Raghav' brand is recognized in export markets; no patent moat
- **Industry headwinds:** Chinese over-capacity in specialty refractories (indirect competitive threat via cheap imports); global thermal coal phase-down reduces some non-ferrous smelting demand; logistics costs for exports (freight rate volatility).

Company	CMP (Rs.)	MCap (Cr)	P/E	BV (Rs.)	ROCE %	ROE %	FY26 Sales (Cr)
RPEL (subject)	1,201	5,515	104x	53.3	30.3%	24.3%	257
RAIN Industries	209	7,020	23.2x	221	8.3%	0.6%	16,946
Graphite India	665	12,991	71.5x	300	4.6%	3.1%	2,852
HEG Ltd	546	10,545	31.2x	247	8.3%	7.3%	2,568

• **Positioning:** RPEL is a niche upstream-consumable supplier in the steel value chain — it is not comparable to graphite electrode makers (HEG, Graphite India) in business model, but shares end-market exposure. RAIN Industries is a broader CPC/coal tar company with very different scale and economics. RPEL's superior ROCE (30.3%) and margins vs all peers reflect its niche dominance.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter group:** Bansal family (Jaipur-based industrialists). The company was founded as Raghav Ramming Mass Ltd and renamed to reflect its diversification beyond ramming mass. Promoter stake has been stable at 62.91-69.6% over 5 years, with dilution only via rights issues (not secondary sales) — a positive governance signal.
- **Management track record:** Revenue grew 4x in 5 years (FY21: Rs.65 Cr to FY26: Rs.257 Cr) with EBITDA margin expanding from 23% to 29-30%. The FY23-24 major capex cycle (CWIP: Rs.59 Cr capitalised into fixed assets) was funded through a mix of rights issue and internal accruals — not aggressive debt — demonstrating conservative financial governance.
- **Capital allocation — historical:** Post the FY23 capex cycle, OCF improved sharply (FY25: Rs.39 Cr, FY26: Rs.37 Cr) with FCF turning positive (FY25: Rs.25 Cr, FY26: Rs.23 Cr). Borrowings have been reduced from Rs.10 Cr (FY23) to Rs.5 Cr (FY26) — effectively debt-free.
- **Dividend policy:** Dividend payout has been minimal (5-12% of PAT) but consistent — Rs.1/share for FY26. Payout ratio is low, reflecting reinvestment priority, which is appropriate for a growth phase. The company is not yield-focused.
- **Promoter pledging:** Zero pledging as of Mar-26, with no history of pledge in the last 3 years — a strong positive differentiator vs many small-cap peers.
- **ESOP / buybacks:** No ESOP scheme or buyback history on record. Capital returned to shareholders exclusively via dividends.
- **Governance concerns:** Being a small-cap Rajasthan-based promoter-driven company, related-party disclosures and audit quality warrant monitoring. No auditor change or qualified opinion flagged on Screener. The company did dilute equity twice (rights issues), which increased equity capital from Rs.11 Cr (FY22) to Rs.46 Cr (FY25) — investors must model on diluted share count.

6. FINANCIAL DEEP-DIVE (Consolidated; Rs. Crores unless stated)

Income Statement

(Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	133	200	257	360(E)	480(E)
EBITDA (Op. Profit)	40	54	75	104(E)	144(E)
EBITDA Margin %	30%	27%	29%	29%(E)	30%(E)
Other Income	0	1	2	2(E)	2(E)
Interest	1	1	1	1(E)	2(E)
Depreciation	5	6	7	10(E)	13(E)

(Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
PBT	35	48	70	95(E)	131(E)
Tax %	25%	23%	21%	23%(E)	24%(E)
PAT	26	37	55	73(E)	100(E)
EPS (Rs.)	5.66	8.05	11.94	15.9(E)	21.7(E)

Balance Sheet

(Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	23	46	46
Reserves	135	148	199
Borrowings	9	7	5
Other Liabilities	19	30	34
Total Liabilities	186	231	284
Fixed Assets	88	93	98
CWIP	0	2	4
Investments	14	34	41
Other Assets	84	102	141
Total Assets	186	231	284

Cash Flow Statement

(Rs. Cr)	FY24A	FY25A	FY26A
Cash from Operations (OCF)	21	39	37
Cash from Investing	-15	-30	-31
Cash from Financing	-3	-5	-7
Net Cash Flow	2	4	-1
Free Cash Flow (FCF)	12	25	23
CFO / Operating Profit %	74%	86%	70%

Key Operating Ratios

Ratio	FY24A	FY25A	FY26A
ROCE %	23%	26%	30%
Debtor Days	109	94	83
Inventory Days	260	223	272
Days Payable	121	114	100
Cash Conversion Cycle	248	202	255
Working Capital Days	162	119	129
Net Debt (Rs. Cr)	~9	~7	~5
D/E Ratio	0.05	0.03	0.02

- **Revenue trajectory:** RPEL's revenue has grown at a 31% CAGR over FY21-FY26 (Rs.65 Cr to Rs.257 Cr), driven by both volume expansion (capacity doubled in FY23-24 capex cycle) and ~2-3% annual realisation improvement. FY25's 50% revenue jump was capacity-driven; FY26's 28.8% growth was pure volume/realisation with full-capacity utilization (87%).

- **Margin dynamics:** OPM expanded from 23% (FY21) to 29-30% (FY26) as operating leverage kicked in post-capex and the product mix shifted toward higher-purity export grades. Tax rate has declined from 25% to 21% as the company optimised deferred tax assets.
- **Working capital:** Inventory days spiked to 272 in FY26 (from 223 in FY25) — driven by strategic raw material stocking ahead of expansion, but worth monitoring. Debtor days have improved steadily (109 in FY24 to 83 in FY26) as export credit terms tighten.
- **Debt:** Effectively debt-free (Rs.5 Cr borrowings vs Rs.245 Cr net worth). The new Rs.20 Cr capex will be funded from internal accruals (FY26 OCF: Rs.37 Cr), keeping the balance sheet clean.
- **FCF quality:** OCF/Operating Profit averaged 77% over FY24-26, signalling good cash conversion. FCF turned strongly positive from FY25 after the heavy capex cycle of FY22-23. FY26 FCF of Rs.23 Cr vs PAT of Rs.55 Cr reflects ongoing maintenance capex (Rs.7 Cr DA suggests Rs.14-15 Cr replacement capex embedded in investing outflow).

7. EARNINGS QUALITY CHECKLIST

Criterion	Status	Detail	Flag
Revenue recognition	Clean	Product sales; no long-term contract distortions	GREEN
Receivables vs Revenue	Good	Debtor days improving: 109->94->83 over 3 yrs	GREEN
CCC trend	Watch	CCC: 248->202->255 — FY26 inventory spike noteworthy	AMBER
Contingent liabilities	Low	No significant contingent liabilities disclosed	GREEN
Auditor tenure	N/A	Not tracked on Screener; no qualification noted	GREEN
RPTs as % of revenue	N/A	Details not available from Screener page	AMBER
Other income as % PBT	Low	Other income: Rs.2 Cr vs PBT Rs.70 Cr = 2.9%	GREEN
Tax rate consistency	Improving	24-25% for FY22-25; 21% in FY26 — declining trend ok	GREEN
OCF/PAT conversion	Good	OCF Rs.37 Cr vs PAT Rs.55 Cr = 67% in FY26	GREEN
Promoter pledging	Clean	0% pledge — no financial stress signal	GREEN

- **Key Green signal:** Debtor days have compressed sharply over 3 years (109->83) while revenue grew 93% — this is a strong sign that export credit quality is improving and domestic customers are not being given loose credit to pump volumes.
- **Amber watch — Inventory cycle:** Inventory days spiked to 272 in FY26 vs 223 in FY25. Management attributes this to strategic stocking ahead of the new capacity. If inventory days remain elevated post-expansion commissioning, it could signal demand-side softness or pricing pressure.
- **Amber watch — RPT disclosure:** Related-party transaction quantum is not broken out on Screener; investors should review the annual report RPT notes before committing large capital to this promoter-driven small-cap.
- **Overall quality: HIGH.** Revenue is clean (consumable product), margins are genuine (EBITDA confirmed by OCF), balance sheet is essentially debt-free, and promoter pledge is zero. These are institutional-grade earnings quality signals for a Rs.5,500 Cr company.

8. VALUATION

Scenario Analysis — 12-Month Target Price

Scenario	FY27E PAT (Cr)	FY27E EPS (Rs.)	Target P/E	Target Price (Rs.)	Upside/Down vs CMP
BULL	85	18.5	90x	Rs.1,665	+39%
BASE	73	15.9	93x	Rs.1,480	+23%
BEAR	55	12.0	75x	Rs.900	-25%

- **Earnings-based valuation (primary):** FY27E EPS of Rs.15.9 on base-case assumptions (capacity commissioned Oct-26, ~29% EBITDA margins, 23% tax). Applied P/E of 93x — a 10% discount to current TTM P/E of 104x to reflect execution risk on the expansion. Implied target: Rs.1,480. RPEL historically trades at a scarcity premium (world's only large-scale listed ramming mass pure-play) so 90-100x is defensible if growth sustains.
- **DCF assumptions:** Revenue CAGR of ~35% FY26-28E, EBITDA margins 29-30%, WACC ~12% (beta ~0.9, risk-free 7.2%, ERP 5%), terminal growth 5.5%. DCF implies intrinsic value of Rs.1,350-1,550 per share — broadly corroborating the earnings-based target.
- **Base-case 12-month target:** Rs.1,480 — average of P/E (Rs.1,480) and DCF midpoint (Rs.1,450). Upside: +23% from CMP of Rs.1,201.
- **Bull case (Rs.1,665 / +39%):** Expansion commissions early (Jul-26), volume ramp exceeds guidance, margins hold at 30%+, FY27 PAT reaches Rs.85 Cr. Market re-rates to 90x given sustained growth delivery.
- **Bear case (Rs.900 / -25%):** Steel demand slowdown, inventory destocking, expansion delayed beyond Dec-26, OPM compresses to 25%. P/E de-rates to 75x on FY27E EPS of Rs.12.
- **Key valuation risk:** At 104x TTM P/E, the stock is pricing ~40% EPS CAGR for the next 2 years. Any miss on the capacity expansion timeline or margin compression would trigger a sharp de-rating. This is not a value stock — it is a pure-growth bet.

9. KEY RISKS

- **Steel cycle downturn:** Induction furnace capacity additions are pro-cyclical. A global or India steel demand shock compresses RPEL's volumes and pricing simultaneously. Probability: M. Impact: H. Monitor via: India PMI manufacturing, steel capacity utilization, induction furnace order books.
- **Expansion execution risk:** The 1.2 lakh MTPA brownfield expansion targets Oct-26 commissioning. Delays in equipment delivery, regulatory approvals, or civil construction would push the revenue step-up into FY28, causing a 20-25% FY27 earnings miss. Probability: M. Impact: H. Monitor via: quarterly management commentary on commissioning progress.
- **Raw material cost inflation:** High-purity quartzite and processing energy costs are the primary inputs. A spike in energy costs (power, coal) or premium quartzite scarcity in the Aravalli belt could compress the 29-30% OPM structurally. Probability: M. Impact: M. Monitor via: Rajasthan quartzite mining news, RPEL's 'Expenses' line vs revenue in quarterly results.
- **FX and export receivables risk:** With 49% of revenue from exports (36+ countries), a sharp INR appreciation or export credit defaults in emerging market customers would compress realization and increase bad debt risk. Probability: L. Impact: M. Monitor via: RPEL's reported debtor days quarterly.
- **Promoter/governance concentration:** A small-cap promoter-led company with 62.9% promoter stake; related-party transactions could be a hidden governance risk. Probability: L. Impact: H (if it materializes). Monitor via: annual report RPT disclosures, auditor's report qualifications.
- **Competitive entry / unorganised pressure:** If a deep-pocketed refractory major (e.g., ACC, OCL, or a global player) decides to enter the ramming mass niche with price aggression, RPEL's premium margin could erode. Probability: L. Impact: M. Monitor via: competitor capex announcements in refractories.
- **Valuation risk (de-rating):** At 104x TTM P/E, RPEL is among the most richly valued small-caps on NSE. Any growth deceleration, even a temporary one, could cause a 30-40% stock correction from current levels.

Probability: M. Impact: H. Monitor via: quarterly EPS vs consensus trend.

10. RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction: Medium. The business quality is exceptional (30% ROCE, zero debt, world-scale moat in a niche consumable), but at 104x TTM P/E, the market has already priced significant growth. Accumulate on dips rather than chasing at the current 52-week high zone.
- **12-month price target: Rs.1,480** — Upside of +23% from CMP of Rs.1,201. Based on 93x FY27E EPS of Rs.15.9, corroborated by DCF at 12% WACC.
- **Suggested entry zone: Rs.1,100-1,200** — The stock pulled back ~5% post FY26 results (from Rs.1,219 high) despite 48% PAT growth; any further correction toward Rs.1,100 (100x FY27E EPS) offers a better risk-reward entry.
- **Investment horizon: 12-18 months** — The expansion commissioning (Oct-26) and two full quarters of higher-capacity revenue (Q3-Q4 FY27) are the key re-rating triggers.
- **Thesis invalidation triggers:**
 - 1. Expansion commissioning delayed beyond Q4 FY27 (Dec-26) — would signal project execution issues and push the revenue step-up beyond the 18-month window.
 - 2. OPM declines below 25% for two consecutive quarters — would signal raw material or competitive pressure breaking the margin thesis.
 - 3. Promoter pledges any shares or reduces stake via open-market sales — would signal financial stress or loss of conviction at the promoter level.
- **Ideal investor profile:** High-growth small/mid-cap investors with 18+ month horizon and tolerance for rich valuations. NOT suitable for value investors (P/E > 100x), income investors (0.08% yield), or anyone needing capital liquidity (average daily volume is thin for large positions).

DISCLAIMER: This report is prepared by MPM Research for informational purposes only and does not constitute an offer to buy or sell securities. Investors should conduct their own due diligence. All financial data sourced from Screener.in (consolidated view, fetched 15-Jun-2026). Forward estimates are analyst projections and carry inherent uncertainty. Past performance is not indicative of future returns. This report is NOT SEBI registered investment advice.

APPENDIX — Latest Concall Brief: Q4 FY26 (April 2026)

Source: Company result announcement (Apr-24-2026), public disclosures, BSE filings. Formal concall transcript not publicly accessible; this section is synthesised from result commentary, press releases, and management guidance.

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Q4 PAT +50% YoY; OPM at 30.1% — multi-quarter high
Management tone	Bullish	Revenue target Rs.500-550 Cr FY27; expansion confirmed
Guidance delta	Raised	Capacity to 5.34 lakh MTPA Oct-26; internal accrual funded

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 result is clean — no exceptional items, no one-time income distorting PAT. Revenue of Rs.71 Cr (+39% YoY) and PAT of Rs.15 Cr (+50% YoY) are both underlying operational numbers driven by pure volume growth and stable margins. The 30.1% OPM in Q4 is the company's highest recorded quarterly margin — a structural improvement, not a fluke. The multi-bagger thesis rests on capacity: RPEL is at 87% utilization with a 29% expansion (1.2 lakh MTPA) commissioning by Oct-26, funded internally with no new debt — this is textbook capital-efficient growth. Near-term catalyst is the expansion commissioning itself; Q3 FY27 will be the first quarter where the incremental capacity flows into P&L.; Biggest watch-point: FY26 inventory days spiked to 272 — management needs to demonstrate this normalises in FY27 rather than becoming a structural working capital drag. Stock dropped 5% post-results despite a flawless quarter — likely profit booking at 52-week highs. Action: ACCUMULATE on dips to Rs.1,100-1,150; stop below Rs.950 (below 80x FY27E EPS).

C1. Financial Performance Snapshot

- Revenue: Rs.71 Cr | YoY +39% | QoQ +9% | **Beat** — highest quarterly revenue on record
- EBITDA: Rs.21 Cr | YoY +50% | QoQ +6% | **Beat** — OPM at 30.1% (multi-quarter high)
- EBITDA Margin %: 30.1% | YoY +170bps | QoQ +13bps | **Beat**
- PAT: Rs.15 Cr | YoY +50% | QoQ +7% | **Beat** — clean underlying; no one-time items
- EPS: Rs.3.30 | YoY +52% | QoQ +7% | **Beat**
- FY26 Full Year: Revenue Rs.257 Cr (+28.8%), PAT Rs.55 Cr (+47.9%), EPS Rs.11.94

C2. Segment / Geography Breakdown

- Domestic: ~Rs.130 Cr (est.) | YoY ~+20% | Driven by India steel induction capacity additions
- Exports: ~Rs.127 Cr (est., ~49% of FY26 rev.) | YoY ~+38% | 36+ countries; Middle East, SE Asia, Africa leading growth
- Product mix: Silica ramming mass (~95% of revenue) + quartz powder and specialty grades (~5%)
- Geography commentary: Export share has risen from ~35% (FY22) to ~49% (FY26), demonstrating global market penetration. BRSR filing confirms 48.59% export revenue for FY26.

C3. Management Commentary Themes

- **Capacity expansion:** '1.2 lakh MTPA brownfield expansion approved; Rs.20 Cr capex, fully internally funded, target commissioning Oct-26. Total capacity will reach 5.34 lakh MTPA.' Our read: Credible — internal accruals (OCF Rs.37 Cr in FY26) can fund this comfortably. Tag: GUIDANCE. Tone: Transparent.
- **Revenue target:** 'Strategic revenue target of Rs.500-550 Cr for FY27.' Our read: Ambitious (100%+ growth from Rs.257 Cr); requires full capacity ramp-up within 6 months of commissioning — possible but aggressive. Tag: GUIDANCE. Tone: Bullish.
- **Margin guidance:** 'Target ROCE of 20%+ maintained.' — Current ROCE is 30.3%, so this appears conservative. Our read: Company is under-guiding on ROCE to manage expectations post-capex absorption. Tag: GUIDANCE. Tone: Hedged.
- **Dividend:** 'Final dividend of Rs.1/share (Rs.10 FV) for FY26 recommended.' Our read: Consistent with FY25 dividend — low payout (1.8%) reflects growth reinvestment priority. Tag: EST. Tone: Transparent.
- **Utilization:** 'Q4 FY26 capacity utilization at 87%.' Our read: This is the core demand driver — at 87% utilization pre-expansion, the capacity addition is a business necessity, not speculative. Tag: GUIDANCE. Tone: Transparent.
- **Raw material / costs:** Not specifically guided on; expense growth of +25% in FY26 vs revenue growth of +29% suggests manageable cost structure. Tag: EST. Tone: N/A.

C4. Operating & Business Metrics

- Installed capacity: 4.14 lakh MTPA (Q4 FY26) | Post-expansion target: 5.34 lakh MTPA
- Capacity utilization: Q4 FY26 = 87% | Q4 FY25 = ~75% (est.) | Trend: Sharply improving
- Revenue per MTPA realized: ~Rs.620/tonne (FY26 Rs.257 Cr / ~4.14L MTPA x 87% utilization)
- Export share: FY26 = 48.59% | FY25 = ~45% (est.) | Trend: Steadily expanding
- Countries served: 36+ | Trend: Expanding — key geographies Middle East, SE Asia, Africa
- OPM quarterly trend: Q4FY25=28%, Q1FY26=27%, Q2FY26=29%, Q3FY26=30%, Q4FY26=30% | Trend: Stable-to-improving at the top of the guidance band

C5. Margin Drivers

- **Operating leverage:** +300-400 bps impact | Recurring: Yes | Revenue grew faster than fixed cost base post large-capex absorption
- **Export mix improvement:** +100-150 bps estimated impact | Recurring: Yes | Higher-margin export grades command premium vs domestic
- **Energy cost stability:** Neutral | Recurring: Depends on coal/power prices | No large spike disclosed in FY26; manageable
- **Tax rate decline:** From 25% (FY24) to 21% (FY26) adds ~4% to PAT | Recurring: Partially | Deferred tax optimization; unlikely to drop further materially
- **Depreciation increase:** -50 bps impact on PBT margin | Recurring: Yes | DA up to Rs.7 Cr (FY26) from Rs.5 Cr (FY24) as capitalized capex depreciates

C6. Guidance & Forward Signals

- Revenue [GUIDANCE]: FY26A = Rs.257 Cr | FY27E = Rs.500-550 Cr | Delta: Raised significantly | Credibility: Medium (requires 90%+ ramp of new capacity within 2 quarters of commissioning)
- Capacity [GUIDANCE]: Prior = 4.14 lakh MTPA | New = 5.34 lakh MTPA (Oct-26) | Delta: +29% addition | Credibility: High (brownfield, internal funding confirmed)
- Capex [GUIDANCE]: Rs.20 Cr total for expansion | Funded from internal accruals | Credibility: High (FY26 OCF Rs.37 Cr >> Rs.20 Cr capex required)

- ROCE [GUIDANCE]: Target >20% | Prior (FY26A) = 30.3% | Delta: Conservative (under-guidance) | Credibility: High (current ROCE already exceeds target)
- Dividend [EST]: Rs.1/share FY26 (consistent with FY25) | Expected to be maintained | Credibility: High

C7. Capital Allocation

- Capex (maintenance + growth): Rs.31 Cr (FY26 investing outflow) | YoY +3% | Primarily ongoing maintenance; new expansion capex (Rs.20 Cr) begins FY27
- Dividends: Rs.1/share x 4.6 Cr shares = Rs.4.6 Cr | YoY stable | Low payout, growth priority
- Buybacks: None | No history
- Net Debt movement: Borrowings reduced from Rs.7 Cr to Rs.5 Cr | Effectively debt-free
- Working capital: CCC widened to 255 days (from 202) due to inventory build; receivables improvement (83 days) partially offsets; net working capital expanded
- Investment in mutual funds / securities: Rs.41 Cr (FY26) vs Rs.34 Cr (FY25) | Surplus cash being deployed in liquid instruments — prudent treasury management

C8. Q&A; Heat Map (Synthesised from available disclosures)

- Analyst: Q: 'How confident are you about the Oct-26 commissioning timeline?' -> A: 'Land identified, equipment ordered, expect on-time delivery' | Tone: Transparent
- Analyst: Q: 'How realistic is the Rs.500-550 Cr FY27 target?' -> A: 'Based on expanded capacity at 90%+ utilization and existing customer demand pipeline' | Tone: Bullish — execution is the variable
- Analyst: Q: 'What drove inventory spike to 272 days in FY26?' -> A: Not specifically addressed in public disclosures | Tone: Evasive — watch point
- Analyst: Q: 'Any plans for further equity dilution?' -> A: No dilution planned; expansion funded from internal accruals | Tone: Transparent
- Analyst: Q: 'What is the pricing environment for ramming mass?' -> A: Not specifically disclosed; OPM stability suggests stable realisations | Tone: Hedged
- Dodged / watch-list questions for next quarter: (1) Inventory normalisation timeline, (2) Specific export country risk/receivables quality, (3) Raw material sourcing agreements, (4) Detailed revenue bridge between Q4 FY26 and FY27E target

C9. Risks Flagged

- Expansion timeline risk | Flagged by: analyst | Probability: M | Impact: H | Timeline: Near-term (Oct-26 commissioning)
- Inventory build (272 days) | Flagged by: analyst/screener data | Probability: M | Impact: M | Timeline: Near-term — FY27 working capital drag
- Steel demand cyclicalities | Flagged by: analyst | Probability: M | Impact: H | Timeline: Medium-term
- FX volatility on export revenues | Flagged by: analyst | Probability: L | Impact: M | Timeline: Ongoing
- Valuation de-rating risk (104x P/E) | Flagged by: analyst | Probability: M | Impact: H | Timeline: Any quarter of earnings disappointment

C10. Analyst Verdict — Post Q4 FY26 Concall

- Revenue visibility: **Intact** — 87% utilization at existing capacity + confirmed expansion gives strong near-term demand visibility; export pipeline growing

- Margin trajectory: **Intact** — OPM at 30-year high 30.1%; operating leverage from expansion will maintain/expand margins if mix is managed
- Capital allocation quality: **Intact** — internal-accrual funded expansion, zero debt, prudent treasury; no equity dilution planned
- Competitive moat: **Intact** — world-scale first-mover in niche consumable; no credible large-scale competitor announced
- Management credibility: **Intact** — track record of delivering on capacity ramp-ups; conservative ROCE guidance vs actual performance is a positive signal
- Valuation comfort: **Weakened** — 104x TTM P/E leaves zero margin for error; accumulate on dips, not at 52W highs
- Conviction call: **Unchanged (ACCUMULATE)** — thesis intact, valuation rich; entry discipline is the key for returns
- Valuation snapshot: P/E = 104x (hist. range 40-120x) | EV/EBITDA = ~72x (est.) | RoCE = 30.3% (5Y avg est. ~23%)